ADMINISTRATIVE UPDATE MEETING

WEDNESDAY, July 8, 2026
10 am – 11 am
Friendship Hall

Join Zoom Meeting
https://us06web.zoom.us/j/83760247802?pwd=a2VzTjBvSXZiMXFCVlVlVVQ5V09kdz09and

Meeting ID: 837 6024 7802
Passcode: 331256

Praveen Rattan Added:The Retirement Letter went out yesterday for Mary Linde. Her retirement party is scheduled for Tuesday, July 28th, more information to follow. I will be serving as Interim Executive Director.

RESPONSE TO QUESTIONS RAISED AT JUNE 26, 2026, RESIDENT COUNCIL MEETING

1. **Resident Question**: Residents are concerned about future construction impact on their living conditions (dust, noise, possible relocation, etc.)
    a. **Mary Linde Answer:** Construction will be under Sequoia's management following the affiliation. In general, when construction is planned, we make a conscious effort to phase the work in a way that minimizes interruptions to services, noise, and other potential disruptions for residents and staff. As the construction phasing plan is developed, we often

involve both residents and staff in the process of gathering input and helping ensure the work is carried out as thoughtfully and smoothly as possible.

2. **Resident Question:** Residents expressed concern about cost of copper flashing now being installed on the McGinley Terrace – since that is slated to be demolished during future construction, the expense seems extravagant relative to, for example, galvanized flashing.
    a. **Hector Arrazola Answer**:

    Hector will provide additional information.

    b. **Hector Arrazola Answer**:
    These repairs were necessary to address the two leaks that continued to appear in the dining room corridor, our contractor Everest leak detection Co, troubleshooted the issue, they recommended replacing the wall flashing to be replaced to mitigate the leak issues.

    Resident Question: Does the weight on the roof have to do with it?

    Answer: Not at all.

3. **Resident Question [Rephrased by Praveen Rattan]:** Residents expressed concerns regarding the Morgan elevator delays.

    a. **Hector Arrazola Answer**: The Morgan elevator is up and running. We are sorry for the delays but unfortunately most of them were out of our hands.

4. **Resident Question:** Further news on the Affiliation would be welcome now that the 60-day due diligence period should have expired.

    a. **Mary Linde Answer**:
        i. Applications have been submitted and we are in a waiting period. We will always be forthcoming with information about this. We are now working on change of ownership paperwork while we wait for approvals.
        ii. There will be a joint meeting about affiliation on July 23 at 10 a.m. in Friendship Hall with Sara McVey and Randy Gridley.

5. **Resident Question:** Some residents are seen sleeping in the Porter Library or in the Stuckey Library – is this a health issue?
    a. **Martha Nkhoma Answer**: Residents may choose to rest or nap in common areas, which is not, by itself, considered a health or safety concern. Staff monitor residents for changes in condition or potential safety risks and take appropriate action, including assessment, documentation, and notification when indicated. The community respects each resident's right to use common areas and make personal choices

regarding their daily activities. Residents may be encouraged to rest in their rooms for comfort or privacy, but they may remain in common areas provided they do not pose a safety risk to themselves or others.

6. **Resident Question:** When a CNA escorts a resident to an outside appointment, does this reduce the number of CNAs available to in-house residents even though the escorted resident is paying the fee?

    a. **Martha Nkhoma Answer:** A CNA may accompany a resident to an outside medical appointment only after the team has evaluated the resident's needs and confirmed that adequate staffing will remain in the community. The assignment is approved only when the care, supervision, and safety of residents who remain in the community will not be compromised. A resident's payment for an escort service does not override the community's responsibility to maintain adequate staffing and resident safety.
        i. **Martha Nkhoma Added:** If you're not feeling well and you have to cancel an appointment, please let us know.

7. **Resident Question:** Residents notice staff watching the clock when attending to residents – is this because the staff are being told to be careful not to incur overtime or other rules?

    a. **Martha Nkhoma Answer:** Staff are expected to manage their time efficiently while ensuring residents receive safe and appropriate care. While staff may be aware of work schedules and overtime policies, these do not take priority over resident care. The community schedules and assigns staffing to maintain adequate care and supervision at all times, with resident safety as the primary focus.
    Occasional attention to time may be related to scheduling commitments, shift transitions, or ensuring all residents' needs are met in a timely manner, but care is not to be rushed or compromised. The expectation is that staff complete required care duties before moving on to other assignments, even if this results in overtime when necessary.
    Resident Comment: They also look at the time so that they can move their car.
    Martha Nkhoma Answer: If you are being rushed, please reach out to us.

8. **Resident Question:** The Community App listing of events/activities is closed (i.e., no open interface to allow extraction of data) and sometimes error-prone, especially recently.

    a. **Melissa Sposato Answer**: We are awaiting confirmation from Uniguest (Touchtown) on whether the system has the capability to provide residents with

separate access to the backend. We will also meet with Tom to better understand the reported errors, including whether they are related to the system itself or are the result of user input.

9. **Resident Question:** Residents are intrigued by the idea of getting a new, larger TV in Friendship Hall and by the possibility of audio enhancement of the TV sound (perhaps through Bluetooth earphones connected to a special audio transmitting device on the TV?). Any further news on this would be very welcome.

    a. **Cortez McFarland / Hector Arrozala Answer:**
    - This request has been updated, and Hector and Cortez will reach out to Tom to ensure we have the most current information before moving forward with purchasing a new television for Friendship Hall. The updated request received includes the following criteria:
        - Seismic safety - a roll-around cart might be nice if there's a solid way to ensure safety;
        - The TV should have a digital optical (TOSLINK / SPDIF) audio output; this is for compatibility with a venue assistive listening system*;
        - Size and position - we'd like the audience to be able to be close enough to see and hear without straining their necks (but note item 2 above);
        - Smart TV - a TV with built-in streaming capability (YouTube, Amazon Prime Video, Netflix, etc.).

This ends the responses to questions raised at the Resident Council meeting.

Mary Linde, Chief Executive Officer:

- Affiliation applications are now with the state. We are waiting for their approval.
- We are jointly working on Change of Ownership paperwork for after the approvals.
- Sara McVey, Sequoia CEO, and Randy Gridley, HotM Board Chair, will hold a joint meeting on July 23 at 10am in Friendship Hall to discuss affiliation. Please plan to attend.

Resident Question: Will change ownership affect our Liquor License?
Jon Casey Answer: We have noted this question. Probably not at first, but we will eventually roll into theirs. The Heritage on the Marina tax ID will remain for a little while until incorporated through financing detail. The licensing will be the same for a while.

Resident Comment: Maybe the Sequoias would not be enthralled with a new Heritage liquor bill each month.
Praveen Rattan Answer: We have noted this as well.

Resident Question: From the staged approach Jon mentioned, rather than an affiliation, it seems we are being acquired by the Sequoias.
Jon Casey Answer: Not in the non-profit world. It's an affiliation when it's two (2) NPOs. Later on, when we all become under one obligated group, we will initially slide under their management but will stay independent for some time. We will still have Executive Directors with a corporate team.

Resident Question: Do the Sequoias have Friday night free liquor?

Resident Question: This ran about $20k a year, probably now $30-35k a year. Do they do this?
Praveen Rattan Answer: We don't have information on whether or not they do.

Resident Comment: The actual liquor bill may be $30k, but that is not necessarily spent Friday night, have other events held where liquor is served; sure Sequoias has liquor bills too as part of celebrations

Resident Comment: I'm sure Sylvie has a really good idea of this. She can give us Friday night figures.

Resident Comment: I enjoy Friday night wine. Once you have a perk for a while, it's hard to have it taken away.

Praveen Rattan Answer: We don't have an answer, but Sara McVey will be here on July 23rd. Please come and ask questions; each community is unique in what they do and offer.

Jon Casey, Chief Financial Officer:

- **Audio system upgrade/replacement in Friendship Hall**
  - The sound system upgrade quote was signed with AVI-SPL in conjunction with Sequioa's recommendations. We have confirmed that the site is ready for the upgrade, so we are just waiting for the new equipment and installation. We do not have a confirmed timeline yet.

- **DSS Annual Reports**

- DSS reserve reports are now final, and the DSS full report will be completed and submitted in the next couple of weeks. These will be available on the DSS website once the reports are submitted.
- Marketing will update the impacted appendices in the contract and marketing materials with the "historical" information regarding rates and other information.

- **990 Tax Return**
  - The 2025 990PF is now in process. Again, we received an extension until November 2026 but will file before that time.

- **Financial Reports**
  - April 2026 is released and was sent to the Heritage Finance Committee and the Sequioa's (diligence requirement).
  - May 2026 will be released this week with final reports sent to the Heritage Finance Committee and the Sequioa's (continued diligence).
  - Already starting work on June close.

- **Actuarial Study 2024**
  - Draft Report received and edits have begun.
  - As expected, the Heritage is in a negative actuary position. A draft letter to DSS explaining the plans to get us out of that position is complete, and we are working on final edits to accompany the report to DSS. These plans include the affiliation, and the construction project to add additional apartments.

- **Annual Unit Increase July 2026**

- The Annual Increase went into effect on July 1. if you have any questions, please reach out to Alvin or Vivien.
- In addition, we are going to be sending out a letter regarding the Service Fee Schedule that was provided as part of the semi-annual to make sure affected Residents are aware of the current cost for certain services provided to you. This is also in coordination with Yardi EHR to simplify billing for these services.

- **Yardi Future Phases In Progress**
  - Fixed Assets and JobCost into Yardi are still in process and w still plan to get this finalized in the 2nd or possibly 3rd Quarter of 2026.
  - No other Yardi enhancements are planned at this time.

Resident Question: Just wondering about your future
Jon Casey's Answer: As far as I know, I will be here through the approval process; will still be available for consultation and phone calls; my date is tied to 10 days after the approval date – thinking toward the end of August; this is a pretty clean affiliation and straight forward.

Praveen Rattan, Executive Director of Human Resources

- **Recruiting:**
  - LVN (2 per diem)
    - One applicant signed an offer letter, pending pre-employment process.
    - The position remains a difficult position to fill as it is not benefits-eligible and not a standardized schedule.

  - CNA (2 full time, 1 per diem)
    - PM and NOC shifts are full-time positions and have been more challenging to fill. Additionally, some applicants have not responded to interview requests, which has continued to impact recruitment efforts.

- **New Hires / Separations:**
  - No changes

Resident Question (response to LiveScan): What is that process?

Praveen Rattan Answer: Livescan is a fingerprinting process and background check through DSS and Guardian; some individuals choose not to do so.

Martha Nkhoma, Executive Director of Resident Health

- **Martha Nkhoma Added**: Reminder to stay hydrated
- Podiatrist care: Friday, 7/10/2026 from 8am with Dr Lee
    - **Martha Nkhoma Added**: Kaiser is $75 for the first visit (note charge is regardless of whether you do or do not have Kaiser).
- Blood pressure clinic: Thursday, 7/16/2026 from 11am to 12:30pm
- **Martha Nkhoma Added:** Thank you all for doing care plans with Vada. We need your signature, as email is not sufficient. This is a DSS annual requirement.

Sylvie Holdman, Director of Dining Services [Morrison Living]

- **Praveen Rattan Added:** Sylvie is in the kitchen while some of the cooks are out.
- Around the World French Night: Friday, July 17th
- Microwave at back of dining room for resident use

Hector Arrazola, Sr. Facilities Director [Coreworks]

June - Completed Projects:

- Morgan Building Elevator / Construction, Remodel
- Morgan & Perry Buildings Access Points Installation – Wiring & Device Installation
- Apartment 421P/422P Remodel
- Morgan Building / Boilers Replacement Project Layouts
- City Requested Morgan Building sidewalks repairs
- Apartment #220P Refresh
- HVAC & Boilers quarterly preventive maintenance

- Francisco Building Apartment #1530#2 windows leak repair
- Porter Garden Tree removal & trimming
- Bay Street Tree trimming
- Perry/Morgan building balcony wall flashing replacement
- Perry Building exit door facing the cottage building – refresh painting

Projects Working on During the Month of July:

- Perry Building Boiler (Boil Out Process) Cleaning System Build Up
- Perry Building Boiler System Water Treatment
- Apart #1540 Refresh
- Emergency Annunciator System / Test
- Morgan Building / Boilers Replacement Project Execution
- Perry Building hallways touch up painting
- Wonder Guards / Exit Doors preventive maintenance
- Kitchen loading dock ramp preventive maintenance
- Friendship Hall TV replacement
- Apartment 203P Renovation
- Apartment 303P Renovation
- Transfer Switch Main Leveler Replacement
- Morgan Building Main Water Valve and Isolations Valves Replacement

Resident Question: 303P is my apartment, is it being renovated?
Hector Arrazola Answer: This is a typo. It should say 307P.

Resident Question: The unit above us is being worked on, starting at 7:30am, maybe they can start later?
Hector Arrazola Answer: I will follow up with the general contractor.
Bob Connolly Added: The apartment is below (not above)

Cortez McFarland, Director of Environmental Services & Transportation

- **Cortez McFarlnad Added:** Bi-annual window cleaning soon – memo coming out
    - If you don't want to be on the list or want to be present, let us know.
- EVS/Housekeeping updates
- All scheduled preventive maintenance (PM) for the Housekeeping laundry equipment has been completed.
- Transportation updates
- The van has received its scheduled oil change.

Resident Comment: I would like to thank Cortez and Hector. As we were working on the garden, we have a beautiful new bench. Cortez and Hector were both so prompt in everything; makes a big difference for us.

Bob Connolly, Sr. Sales Manager

Sales:

- 2 new applications
- 2 Entrance Fees received apartments 1530 #1 and 328M. Contract and entrance fee expected for 307Perry.

Marketing:

- Photo shoot July 16th to update website, programmatic and social campaigns.
- Church bulletins (St. Mary's, SVD, St. Dominics)
- Nob Hill Gazette ad placed 6/18 and SF Chronicle Sr. Living 6/21 ad.

Bob Connolly Added: We have an increase of 34% web sessions and an increase in 14% website leads.
Resident Question: What are the numbers, as percentages can be skewed.
Bob Connolly Added: We have about 8,237 in web sessions and 68 website leads.

Roxana Lara, Assistant Director of Life Enrichment

- Viva La France Social Hour 7/14 @3pm, FH
    - **Martha Nkhoma added:** There will be dancing and drinks
- New Ceramics Class beginning 7/15 10-12pm
- French Dinner Night Entertainment with Duo Gadjo 7/17 @ 5:30, dining room

Marhta Nkhoma Added: We want to update pictures for all residents to have current pictures for this year.

Brittany Castillo, Clinical Director of [EmpowerMe Wellness]

- Are you noticing any balance changes, incontinence, decreased strength, decreased ability to take care of yourself, or having trouble with memory? Get a referral from your physician for therapy services (Physical, Occupational, Speech) and let us, at EmpowerMe Wellness at Heritage, help you in the convenience of your own home! Please reach out to Brittany, the Clinic Director, at 415-921-1316 for more *information* or any questions. 😊